

at all only by understanding the big picture—by listening to Mr. Market tell his story.

Where is the right place to be? When?

We use the word “beta” in the broadest possible way. Imagine, for example, that you are on the *Titanic* and that you just won big at the card tables when you feel the ship shudder. Or imagine that you are in Russia in 1910. At the time, the Russian economy was booming. After the U.S. and Germany, Russia was the place to be. By some measures, it even looked as though Russia could surpass all of its rivals.

So what should you do? Look for the best Russian bond, the fastest-growing Russian company, the best deal on the Russian stock exchange? Order another bottle of champagne from the waiter on the *Titanic*?

Or imagine that you lived in Germany in 1937. Finally, the country seemed to be pulling itself together. The Depression, the hyperinflation, the nationwide strikes, and Bolshevik lawlessness were in the past. Germany’s centrally planned, expertly managed economy, with that clever Mr. Hitler at the top, was the wave of the future; everyone said so.

What should you do? Buy property in Berlin? Build a factory in Dresden?

Oh, but that’s ancient history. Let’s come forward to Argentina in 2000. No more inflation; now the Argentine peso is tied to the dollar! The country is booming, except for the pesky problem of too much debt. What to do? Seek alpha? Try to find the best-performing Argentine stock?

And here we are in the United States in 2012. And you have a similar question to ask yourself. Should you be seeking alpha? Or something else completely? Should you be in bonds or stocks? Should you be in cash or gold? Should you be in the United States? You can answer those questions only by listening to the market tell its story.

There was no point in hanging around St. Petersburg in 1917, trying to find the very best investment opportunity. It was time to raise your head. Look around. Listen. And get the hell out. In just a few months, the Russian Revolution would bring the Bolsheviks to power. Forget about your money; you’d be lucky to get out with your life!

Similarly, Germany in the late 1930s was dynamic and interesting. It had many of the world’s finest scholars, philosophers, scientists, musicians, and writers. Whether you were looking for beer or strudel, it was hard to beat.